

still be willing to absorb the higher costs.” Plus, the government has also chipped in with policy incentives for production; there’s about ₹26,000 crore under the production-linked incentive (PLI) scheme for the auto and auto component industries, another ₹18,000 crore for investment in advanced chemistry cells (for EVs), and ₹76,000 crore for semiconductor manufacturing over the next six years.

The latest surge in commodity prices will delay the industry’s anticipated recovery. Several analysts had priced in a bottoming out of gross margins by the second quarter of FY22. The sustained increase in commodity prices, and now the Ukraine crisis, have shifted that point to Q3FY23. More pain before some gains, apparently. The logic for that assessment is relatively straightforward. Raw material costs as a share of sales value amount to roughly 75 per cent (see *The Platinum, Palladium Risk*). The sum of energy conversion costs, logistics, sales and marketing—labour costs will remain stable—will dent or damage gross margins by about roughly 3-4 per cent.

With additional costs stemming from the crisis—not forgetting inflation—the gross margin turnaround could well be pushed into the start of 2024, if the Ukraine crisis persists. And if markets are anything to go by—both equity markets and futures—people are persuaded that things could take longer before ‘normalcy’ is restored. Uncertainty breeds volatility.

UNMAKING THE MARKET

The most obviously visible signs of distress are in global equity markets, and their hopes of a fast resolution seem likely to be belied. On March 4, US Secretary of State Antony Blinken told the media in Brussels that an early end to the crisis



“Receiving payments for exports to Russia will now be a big problem... There is about \$400 million in unrealised receipts for exports that have been shipped”

AJAY SAHAI

DIRECTOR GENERAL AND CEO, FIEO

appears unlikely, after his meeting with NATO Secretary General Jens Stoltenberg. Sanctions on Russia, its businesses and economy are likely to get harsher.

Indian stock markets have been ‘correcting’ very quickly. On March 7, the S&P BSE Sensitive Index (BSE Sensex) had declined to 53,035, by almost 15 per cent from its 52-week record high of 62,245. Another 5,700-point decline will take it to the lowest point in a year, or 42,205. That likelihood doesn’t seem far-fetched, although it recovered marginally to 55,464 on March 10.

Rashesh Shah, Chairman and CEO of the Edelweiss Group, isn’t convinced that the Ukraine crisis is the primary cause for the fall in the Indian equity market. “We were already in a global risk-off environment,” he says. “India is reasonably insulated from what is essentially a geopolitical crisis.” He acknowledges the potential inflationary effects that commodity prices will have on the economy. “But look at corporate balance sheets,” he argues. “This year’s Budget and tax collections in the past few months have been high enough for the RBI to reduce the government’s borrowing programme; the government’s balance sheet is strong too.”

Others are less sanguine. “The

market was expensive, and some valuations were definitely very high,” says Sanjeev Prasad, Managing Director and Co-head at Kotak Institutional Equities. “Interest rates are high, and so is inflation. I have never seen people in the equities market as worried about inflation as they are now.”

He’s right about excessive valuations. The stock price of TCS, for example, was 19-22 times forward earnings through most of the last decade; it is now 30 times. HUL (Hindustan Unilever Ltd) was at more than 45 times earnings in early March, and Avenue Supermarkets Ltd—otherwise known as DMart—has a price-earnings (P/E) ratio of 110 times! The National Stock Exchange’s (NSE) Nifty 50 is trading at 19.5 times.

Prasad worries that inflation in FY23 could average well above RBI forecasts; an extended conflict could keep oil prices higher than \$110 a barrel; September oil futures on March 8 were over \$126. Together with other high commodity prices, the RBI may have to revise its inflation estimate upwards, to 6 per cent, probably even higher.

With 10-year bonds at a shade over 6.8 per cent, and forward earnings yield (the reciprocal of the P/E ratio) at 5.13 per cent, the yield gap